

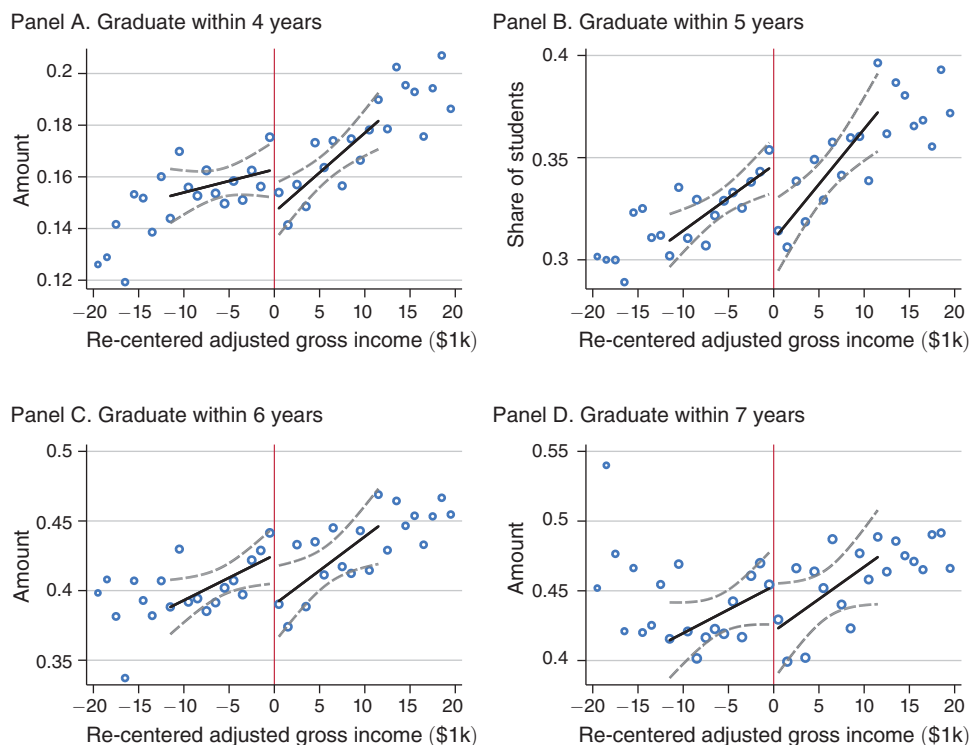


FIGURE 5. GRADUATION RATES BY DISTANCE TO THE AUTOMATIC ZERO EFC THRESHOLD: FTIC STUDENTS

*Notes:* See Figure 4 notes for sample description. Each marker represents the share of students receiving a bachelor's degree within the specified number of years since entry within a \$1,000 AGI bin. Larger circles represent a larger underlying sample size. Solid dark lines represent estimates from a local linear regression of outcome on AGI, estimated separately by eligibility, and weighted by the number of students in the bin. Dashed light lines represent corresponding 95 percent confidence intervals.

significant reduction in the amount borrowed equal to \$343 for FTIC students and \$225 for returning students.

Effects on contemporaneous academic outcomes are relatively small. Eligibility leads to small increases in credits attempted by FTIC and returning students (0.26 and 0.22, respectively), a 1 percentage point increase in returning students' probability of re-enrolling in the following academic year, and does not significantly affect GPAs of students in either group (Table 3). Estimated 95 percent confidence intervals exclude increases greater than 0.5 credits attempted (2 percent), a 2 percentage point (3 to 4 percent) increase in returning the following academic year, and a 0.08 (4 percent) GPA increase.

### B. Longer Run Effects on Attainment, Earnings, and Tax Payments

We next examine effects on longer run academic outcomes including re-enrollment, credits attempted, and degree receipt. Panels A through C of Figure 8 display point estimates and corresponding 95 percent confidence intervals from equation (1), which represent reduced-form effects of automatic zero EFC eligibility, by the number